

INTERIM RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2021



UMEME IN 6 MONTHS

40,629 New customers
we have added 31,722 customer funded connections, bringing the total for the period to 40,629.

99.1% collection rate
Our collection rate was 99.1% compared to 93.3% for the same period in 2020.

USD 30m Investment
We are implementing an investment plan of USD 30 million (Ushs 110 billion) related to supply reliability, growing demand, public safety, energy losses reduction and efficiency in operations

Capital Position
Long-term gross debt at the close of June 2021 stood at USD 120.3m, down from USD 144.3m as of 31st December 2020.

Customer service Innovation
Online New Applications platform has simplified and improved the customer connections experience. New applicants under the self-funded program are now connected within an average of 3 days.

The Directors of Umeme Limited are pleased to present the unaudited interim condensed financial statements for the six months ended 30 June 2021.

These financial results reflect our operational performance, regulatory actions, the operating environment, and electricity demand/supply dynamics.

Since the declaration of the Covid-19 pandemic in Uganda in March 2020, the Company continues to prioritise the safety and wellbeing of staff to enable continuity of supply and electricity distribution services to our customers.

The pandemic and related containment measures continue to affect the general

macro-economic operating environment, our customers, and our operations.

OPERATIONAL PERFORMANCE

Safety

The health and safety of our staff, contractors, and the public remain our top priority. Since the emergence of COVID-19, we have adapted the business operations to ensure compliance with guidelines and directives issued by the Government to protect our staff while continuing to deliver our services.

We note, with regret 5 fatal accidents resulting from illegal interference with the electricity distribution network recorded

during the period. We urge the public to refrain from interfering with electricity infrastructure and remain vigilant, reporting any unsafe network conditions. Umeme continues to sensitise the public on the responsible use of electricity and to the risks through a wide range of channels and engagements and has multiple avenues for the public to report unsafe situations. In addition, our staff are trained, and continually assessed, on their ability to safely operate and maintain the distribution network.

Customer Connections

On receipt of connection materials in June 2021 from the Government under the free connections program to connect 87,500 customers out of the backlog of 210,000, we

resumed the implementation of the program and have connected 8,907 of the free connections to date. In addition, we have added 31,722 customer funded connections, bringing the total for the period to 40,629.

We aim to clear the 87,500 connections by November 2021 as the Government mobilises additional financing for the rest of the backlog. The customer base stands at 1,530,733 of which 29,733 are under the post-paid system. During the period, we converted 8,864 of the post-paid customers to Yaka (pre-paid system), with the balance of 20,869 to be converted by the end of the year. Pre-paid sales contribute 31% of the total revenues. The rollout of the Online New Applications platform has simplified and improved the customer connections experience. New applicants under the self-funded program are now connected within an average of 3 days.

We also connected 98 and 751 industrial and commercial customers respectively.

Electricity Demand

Overall electricity sales for the six months to 30 June 2021 increased by 11.8% to 1,720 GWh up from 1,538 GWh for the same period in 2020. The demand in the first half of 2020 was subdued by effects of the strict lockdown that impacted economic activity.

The growth during the period was driven by increased industrial demand at 13% from new and existing customers, commercial demand at 13% and domestic customers at 5%.

Energy Losses

Energy losses for the six months were 17.9% compared to 17.5% for 2020. The Covid-19 restrictions impacted our ability to execute our loss reduction programme during the period. We continue to note with concern the increased tendency of tampering and vandalising electricity infrastructure, including metering installations by some unscrupulous members of the public. With support of the Uganda Police, we have resumed our field operations and any culprits found are prosecuted under the Laws of Uganda.

Revenue Collections

Collection of billed electricity revenues is fundamental for the sustainability of the electricity supply industry, growth, and overall service delivery to our customers. The cashflows enable the generation, transmission and distribution companies to meet their

operating and investment obligations, without constraining the Government’s fiscal resources. For the six months to 30 June 2021, our collection rate was 99.1% compared to 93.3% for the same period in 2020. We extend our appreciation to our customers that have continued to pay their bills on time.

Capital Investments

We are implementing an investment plan of US\$ 30 million (Ushs 110 billion) related to supply reliability, growing demand, public safety, energy losses reduction and efficiency in operations. Some of the projects under implementation include: Nakasamba power station in Entebbe, conversion of 30,000 post paid customers to Yaka, line refurbishments in Kamuli, Kibimba, Bubulo, Fort-Portal, Kisubi Kampala South; reconfiguration and supply stabilisation in Naalya, Najjera, Buwate, Namugongo and Ntinda belt, additional transformer zones and new connections.

FINANCIAL PERFORMANCE

Our performance for the six-months was supported by continuing investment in the existing network as well as projects to help meet regulatory targets and overall recovery in demand.

Revenues: Increased by 9.3% to Ushs 928 billion from Ushs 849 billion for the same six months in 2020. The growth is attributed to increased electricity demand across all consumer categories following reduced restrictions after the 1st wave of Covid-19.

Gross profit: Increased by 28.7% in the six months to 30 June 2021 to Ushs 299 billion compared to Ushs 232 billion of 2020. The growth is attributed to investments in growth and reliability related projects coupled with increased demand from existing and new customers.

Operating costs: increased by 12% to Ushs 123 billion from Ushs 110 billion of 2020. There was an increase in overall business activities to comply with Covid 19 directives, repairs and maintenance of the network and impairment of receivables in light of constrained economic activities.

Finance costs: Declined by 15.4% due to the decrease in interest rates on our long-term facilities: during the period it was 5.26%, down from 6.92% in the same period last year.

Earnings Before Interest Tax Depreciation and Amortization (EBITDA): Strengthened by 48% to Ushs 173.8 billion compared to Ushs 121 billion of 2020.

Net profit: More than doubled to Ushs 48.2 billion compared to Ushs 21.8 billion in the interim period to June 2020.

Capital Position: We have fully drawn down and utilized the debt raised in late 2019 to bolster our investment programme over the past 18 months. Long-term gross debt at the close of June 2021 stood at USD 120.3m, down from USD 144.3m as of 31st December 2020.

Cashflow: Net Operating cashflow improved to Ushs 153.5 billion, from Ushs 24.1 billion of 2020, attributable to the improved profitability, recovery of outstanding ECP revenues, working capital efficiencies and lower financing costs. Capital expenditure in the period eased to Ushs 49.6 billion against the Ushs 77.7 billion invested in the six months to June 2020

CONCLUSION

As we navigate through the effects of the pandemic, which are evident on the economy and our customers, our focus remains on staff safety, service excellence, and business continuity while minimising the pandemic effects on the Company.

The Directors do not recommend payment of an interim dividend.

The lack of clarity of the Concession post 2025, limits significantly our ability to raise capital and make capital investments in the electricity distribution system to achieve the national electrification goals. We await further engagements with Government for an amicable settlement of the negotiations. Once again, we extend our appreciation to the Government, our business partners, customers, and stakeholders for the continued support to the Company. To the staff, we thank you for your continued commitment to delivering improved and more reliable service, especially during these pandemic times.

We remain committed to driving Uganda’s electrification agenda through efficient and safe operation of the electricity distribution system.

Extract of the unaudited interim condensed financial statements for the six months ended 30 June 2021

SUMMARY STATEMENT OF PROFIT OR LOSS

	UNAUDITED 6 MONTHS ENDED 30 JUNE 2021 (Ushs million)	UNAUDITED 6 MONTHS ENDED 30 JUNE 2020 (Ushs million)
Revenue from contracts with customers	927,862	848,823
Cost of sales	(629,304)	(616,764)
Gross Profit	298,558	232,059
Repair and maintenance expenses	(29,226)	(21,582)
Administration expenses	(93,905)	(88,161)
Foreign exchange gains/(losses)	(13,295)	(4,849)
Increase in expected credit losses	(1,684)	(997)
Operating Profit Before Amortisation, Impairment, Interest And Tax	160,448	116,470
Amortisation and write-off of intangible assets	(78,071)	(67,224)
Operating Profit	82,377	49,246
Finance income	9,829	9,724
Finance costs	(22,605)	(26,712)
Profit Before Tax	69,601	32,258
Income tax charge	(21,358)	(10,491)
Profit for the period	48,243	21,767
Basic and diluted earnings per share	Ushs 29.7	Ushs 13.4

SUMMARY STATEMENT OF COMPREHENSIVE INCOME

	UNAUDITED 6 MONTHS ENDED 30 JUNE 2021 (Ushs million)	UNAUDITED 6 MONTHS ENDED 30 JUNE 2020 (Ushs million)
Profit for the period	48,243	21,767
Other comprehensive income that may be reclassified to profit or loss in subsequent periods (net of tax):		
Exchange differences on translation from functional currency	(25,813)	17,852
Total comprehensive income for the period, net of tax	22,430	39,619

SUMMARY STATEMENT OF CASH FLOWS

	UNAUDITED 6 MONTHS ENDED 30 JUNE 2021 (Ushs million)	UNAUDITED 6 MONTHS ENDED 30 JUNE 2020 (Ushs million)
Cash generated from operating activities	171,016	49,116
Long and short term borrowings interest paid	(13,578)	(21,957)
Other financing costs paid	(4,025)	(2,361)
Borrowings transactions paid	-	(1,057)
Net cash flows from operating activities	153,507	24,116
Investing activities		
Purchase of intangible assets	(49,639)	(77,740)
Net cash flows used in investing activities	(49,639)	(77,740)
Financing activities		
Repayment of principal on long term borrowing facilities	(85,647)	(28,165)
Repayment of principal on short term borrowing facilities	-	(36,650)
Net cash flows used in financing activities	(85,647)	(64,815)
Net decrease in cash and cash equivalents	18,221	(118,439)
Cash and cash equivalents at 1 January	(52,489)	52,364
Translation differences	5,679	(1,628)
Cash and cash equivalents at 30 June	(28,589)	(67,703)

SUMMARY STATEMENT OF FINANCIAL POSITION

	UNAUDITED 6 MONTHS ENDED 30 JUNE 2021 (Ushs million)	AUDITED 31 DECEMBER 2020 (Ushs million)
ASSETS		
Non-current assets		
Intangible assets	691,781	787,665
Other financial asset: Buy out amount	1,047,872	1,016,856
Concession financial asset	322,416	329,283
	2,062,069	2,133,804
Current assets		
Inventories	91,824	102,600
Current income tax recoverable	31,929	41,137
Contract assets	37,847	91,433
Trade and other receivables	214,676	218,402
Prepayments	30,110	47,642
Bank balances	43,867	30,022
	450,253	531,236
Total Assets	2,512,322	2,665,040
Equity And Liabilities Equity		
Issued capital	27,748	27,748
Share premium	70,292	70,292
Retained earnings	550,412	521,980
Translation reserve	157,373	183,186
	805,825	803,206
Non-current liabilities		
Borrowings: non-current portion	250,471	341,464
Concession financial obligation	322,416	329,283
Long term incentive plan	57	58
Deferred tax liability	227,463	215,313
	800,407	886,118
Current liabilities		
Borrowings: current portion	171,244	175,640
Customer security deposits	484	496
Contract liabilities	99,768	139,866
Accrued expenses	47,546	53,931
Provisions	1,278	1,311
Trade and other payables	513,798	522,457
Bank overdrafts	71,972	82,015
	906,090	975,716
Total equity and liabilities	2,512,322	2,665,040

SUMMARY STATEMENT OF CHANGES IN EQUITY

	ISSUED CAPITAL (Ushs million)	SHARE PREMIUM (Ushs million)	RETAINED EARNINGS (Ushs million)	TRANSLATION RESERVE (Ushs million)	TOTAL EQUITY (Ushs million)
At 1 January 2020	27,748	70,292	546,030	189,450	833,520
Profit for the period	-	-	21,767	-	21,767
Other comprehensive income, net of tax	-	-	-	17,852	17,852
Total other comprehensive income, net of tax	-	-	21,767	17,852	39,619
At 30 June 2020 – unaudited	27,748	70,292	567,797	207,302	873,139
At 1 January 2021	27,748	70,292	521,980	183,186	803,206
Profit for the period	-	-	48,243	-	48,243
Other comprehensive loss, net of tax	-	-	-	(25,813)	(25,813)
Total other comprehensive income, net of tax	-	-	48,243	(25,813)	22,430
Dividend declared	-	-	(19,811)	-	(19,811)
At 30 June 2021 – unaudited	27,748	70,292	550,412	157,373	805,825

The interim condensed financial statements have been prepared in accordance with IAS 34 Interim Financial Reporting. The interim condensed financial statements do not include all the information and disclosures required in audited annual financial statements and should be read in conjunction with the Company's annual audited financial statements for the year ended 31 December 2020.

Message from the Directors

The interim condensed unaudited financial statements are extracts from the books of the Company. A copy of the interim condensed unaudited financial statements can be obtained at the Umeme Limited Head Office at Rwenzori House, Plot 1 Lumumba Avenue, Kampala Uganda and on www.umeme.co.ug.

The financial statements were approved by the Board of Directors on 20 August 2021, and were signed on its behalf by:

CHAIRMAN
Patrick Bitature

MANAGING DIRECTOR
Selestino Babungi